25 Reinforcement Learning Foundations

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Markov decision processes, the Bellman equation, tabular Q-learning and SARSA from scratch, and the exploration-exploitation trade-off via epsilon-greedy and UCB.

Learning objectives

- Define a Markov decision process (MDP) and derive the Bellman optimality equation.
- Implement tabular Q-learning from scratch for a gridworld environment.
- Compare Q-learning (off-policy) and SARSA (on-policy) in terms of learned policies.
- Analyze exploration strategies: ε-greedy versus upper confidence bound (UCB).

25.1 Motivation

An agent navigates a maze, choosing directions and receiving rewards, with no prior knowledge of the map. This is the **reinforcement learning** (RL) problem (Sutton & Barto, 2018). Unlike supervised learning (correct answers provided) or game theory's analytical equilibria, RL learns through trial-and-error interaction. The framework is foundational for multi-agent learning: before understanding how two Q-learners interact in a matrix game (26), we must understand single-agent Q-learning.

25.2 Theory

25.2.1 Markov decision processes

A **Markov decision process** (MDP) is a tuple $(\mathcal{S}, \mathcal{A}, P, R, \gamma)$ where:

- $\mathcal{S}$ is a finite set of states,
- $\mathcal{A}$ is a finite set of actions,
- $P(s' \mid s, a)$ is the transition probability,
- $R(s, a, s')$ is the reward function,
- $\gamma \in [0, 1)$ is the discount factor.

The agent's goal is to find a policy $\pi(a \mid s)$ that maximizes expected cumulative discounted reward:

$$V^{\pi}(s) = \mathbb{E}_{\pi}\left[\sum_{t=0}^{\infty} \gamma^{t} R_{t} \,\middle|\, S_0 = s\right] \tag{25.1}$$

25.2.2 The Bellman equation

The optimal value function $V^{*}(s)$ satisfies the **Bellman optimality equation**:

$$V^*(s) = \max_{a \in \mathcal{A}} \sum_{s'} P(s' \mid s, a) \left[R(s, a, s') + \gamma \, V^*(s') \right] \tag{25.2}$$

Equivalently, the optimal action-value function $Q^*(s, a)$ satisfies:

$$Q^*(s, a) = \sum_{s'} P(s' \mid s, a) \left[R(s, a, s') + \gamma \max_{a'} Q^*(s', a') \right] \tag{25.3}$$

25.2.3 Tabular Q-learning

Q-learning (Watkins & Dayan, 1992) is a model-free, off-policy algorithm. After taking action a in state s, observing reward r and next state s':

$$Q(s, a) \leftarrow Q(s, a) + \alpha \left[r + \gamma \max_{a'} Q(s', a') - Q(s, a) \right] \tag{25.4}$$

The $\max$ operator makes it off-policy: Q-learning updates toward the best possible next action regardless of what was actually taken. Under standard conditions, $Q \to Q^*$.

25.2.4 SARSA

SARSA (State-Action-Reward-State-Action) is an on-policy alternative that bootstraps from the action a' actually chosen, rather than the greedy $\max$:

$$Q(s, a) \leftarrow Q(s, a) + \alpha \left[r + \gamma \, Q(s', a') - Q(s, a) \right] \tag{25.5}$$

SARSA learns the value of the policy it follows (including exploration), making it more conservative near dangerous states.

25.2.5 Exploration vs exploitation

The agent must balance **exploitation** (best-known action) with **exploration** (trying alternatives). Two standard strategies: ε**-greedy** (random action with probability ε, greedy otherwise) and **UCB** (choose $a = \arg\max_a [Q(s, a) + c\sqrt{\ln t / N(s, a)}]$, exploring in proportion to uncertainty).

25.3 Implementation in R

25.3.1 Gridworld environment

```
create_gridworld ← function(rows = 5, cols = 5, obstacles = NULL,
                            goal = NULL, goal_reward = 10, step_cost = -0.1) {
  if (is.null(goal)) goal ← c(rows, cols)
  # State encoding: (row, col) → integer id
  state_id ← function(r, c) (r - 1) * cols + c
  id_to_rc ← function(id) c((id - 1) %/% cols + 1, (id - 1) %% cols + 1)

  is_obstacle ← function(r, c) {
    if (is.null(obstacles)) return(FALSE)
    any(obstacles[, 1] == r & obstacles[, 2] == c)
  }

  # Actions: 1=up, 2=right, 3=down, 4=left
  action_delta ← list(c(-1, 0), c(0, 1), c(1, 0), c(0, -1))
  action_names ← c("Up", "Right", "Down", "Left")

  step ← function(state, action) {
    rc ← id_to_rc(state)
    delta ← action_delta[[action]]
    nr ← rc[1] + delta[1]
    nc ← rc[2] + delta[2]

    # Stay in place if hitting wall or obstacle
    if (nr < 1 || nr > rows || nc < 1 || nc > cols || is_obstacle(nr, nc)) {
      return(list(next_state = state, reward = step_cost, done = FALSE))
    }

    next_state ← state_id(nr, nc)
    done ← (nr == goal[1] && nc == goal[2])
    reward ← if (done) goal_reward else step_cost

    list(next_state = next_state, reward = reward, done = done)
  }

  list(
    rows = rows, cols = cols, n_states = rows * cols, n_actions = 4,
    start = state_id(1, 1), goal = state_id(goal[1], goal[2]),
    step = step, state_id = state_id, id_to_rc = id_to_rc,
    action_names = action_names, obstacles = obstacles
  )
}
```

25.3.2 Tabular Q-learning agent

```
q_learning_gridworld ← function(env, episodes = 1000,
                                alpha = 0.1, gamma = 0.95,
                                epsilon = 0.1, max_steps = 200) {
  Q ← matrix(0, nrow = env$n_states, ncol = env$n_actions)
  episode_rewards ← numeric(episodes)

  for (ep in seq_len(episodes)) {
    state ← env$start
    total_reward ← 0

    for (step in seq_len(max_steps)) {
      # Epsilon-greedy action selection
      if (runif(1) < epsilon) {
        action ← sample(env$n_actions, 1)
      } else {
        ties ← which(Q[state, ] == max(Q[state, ]))
        action ← sample(ties, 1)
      }

      result ← env$step(state, action)
      # Q-learning update (off-policy: uses max over next actions)
      best_next ← max(Q[result$next_state, ])
      Q[state, action] ← Q[state, action] +
        alpha * (result$reward + gamma * best_next - Q[state, action])

      total_reward ← total_reward + result$reward
      state ← result$next_state
      if (result$done) break
    }
    episode_rewards[ep] ← total_reward
  }

  list(Q = Q, rewards = episode_rewards)
}
```

25.3.3 SARSA agent

```
sarsa_gridworld ← function(env, episodes = 1000,
                           alpha = 0.1, gamma = 0.95,
                           epsilon = 0.1, max_steps = 200) {
  Q ← matrix(0, nrow = env$n_states, ncol = env$n_actions)
  episode_rewards ← numeric(episodes)

  choose_action ← function(state) {
    if (runif(1) < epsilon) {
      sample(env$n_actions, 1)
    } else {
      ties ← which(Q[state, ] == max(Q[state, ]))
      sample(ties, 1)
    }
  }

  for (ep in seq_len(episodes)) {
    state ← env$start
    action ← choose_action(state)
    total_reward ← 0

    for (step in seq_len(max_steps)) {
      result ← env$step(state, action)
      next_action ← choose_action(result$next_state)

      # SARSA update (on-policy: uses actual next action)
      Q[state, action] ← Q[state, action] +
        alpha * (result$reward + gamma * Q[result$next_state, next_action] -
                   Q[state, action])

      total_reward ← total_reward + result$reward
      state ← result$next_state
      action ← next_action
      if (result$done) break
    }
    episode_rewards[ep] ← total_reward
  }

  list(Q = Q, rewards = episode_rewards)
}
```

25.3.4 Training on the gridworld

```
obstacles ← matrix(c(2, 2,  3, 4,  4, 2,  2, 4), ncol = 2, byrow = TRUE)

env ← create_gridworld(rows = 5, cols = 5, obstacles = obstacles)

set.seed(42)
ql_result ← q_learning_gridworld(env, episodes = 2000,
                                 alpha = 0.15, gamma = 0.95, epsilon = 0.1)
set.seed(42)
sarsa_result ← sarsa_gridworld(env, episodes = 2000,
                               alpha = 0.15, gamma = 0.95, epsilon = 0.1)
```

```
# Extract max Q-value per state as value function
V ← apply(ql_result$Q, 1, max)

grid_df ← tibble(
  state = seq_len(env$n_states),
  row = (state - 1) %/% env$cols + 1,
  col = (state - 1) %% env$cols + 1,
  value = V
)

# Mark obstacles
obs_df ← tibble(
  row = obstacles[, 1],
  col = obstacles[, 2]
)

p_heatmap ← ggplot(grid_df, aes(x = col, y = row, fill = value)) +
  geom_tile(colour = "white", linewidth = 0.5) +
  geom_tile(data = obs_df, aes(x = col, y = row),
            fill = "grey20", inherit.aes = FALSE) +
  geom_text(aes(label = round(value, 1)), colour = "black", size = 3.5) +
  annotate("text", x = 1, y = 1, label = "S", fontface = "bold", size = 5) +
  annotate("text", x = 5, y = 5, label = "G", fontface = "bold", size = 5) +
  scale_fill_gradient(low = "white", high = okabe_ito[1], name = "V(s)") +
  scale_y_reverse() +
  coord_equal() +
  theme_publication() +
  theme(panel.grid = element_blank()) +
  labs(title = "Q-Learning: Learned State Values",
       x = "Column", y = "Row")

p_heatmap
```

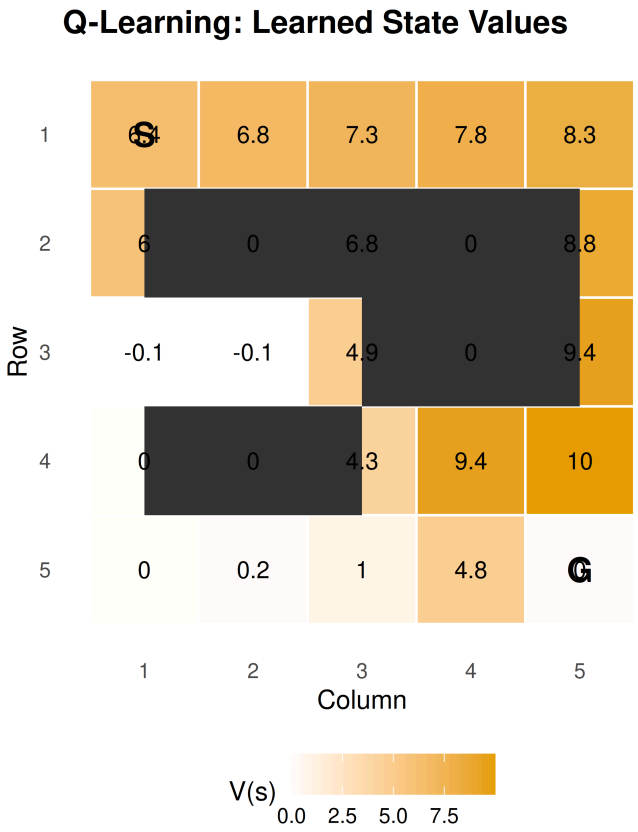


Figure 25.1: Learned state values (max Q per state) in the 5×5 gridworld. The agent starts at (1,1) and must reach the goal at (5,5). Dark cells are obstacles. Higher values (orange) indicate states closer to the goal along the optimal path.

```
save_pub_fig(p_heatmap, "q-learning-gridworld-heatmap", width = 6, height = 5)
```

25.3.5 Exploration comparison: epsilon-greedy vs UCB

```
run_bandit <- function(strategy, n_arms = 10, n_steps = 2000,
                       epsilon = 0.1, ucb_c = 2) {
  true_values <- rnorm(n_arms); Q <- rep(0, n_arms); N <- rep(0, n_arms)
  cum_regret <- numeric(n_steps); optimal <- max(true_values); tot <- 0
  for (t in seq_len(n_steps)) {
    action <- if (strategy == "epsilon_greedy") {
      if (runif(1) < epsilon) sample(n_arms, 1) else which.max(Q)
    } else {
      if (any(N == 0)) which(N == 0)[1]
      else which.max(Q + ucb_c * sqrt(log(t) / N))
    }
    reward <- rnorm(1, mean = true_values[action])
    N[action] <- N[action] + 1
    Q[action] <- Q[action] + (reward - Q[action]) / N[action]
    tot <- tot + (optimal - true_values[action]); cum_regret[t] <- tot
  }
  cum_regret
}

set.seed(42); n_runs <- 50; n_steps <- 2000
eg_regret <- matrix(0, n_runs, n_steps); ucb_regret <- matrix(0, n_runs, n_steps)
for (i in seq_len(n_runs)) {
  eg_regret[i, ] <- run_bandit("epsilon_greedy", n_steps = n_steps)
  ucb_regret[i, ] <- run_bandit("ucb", n_steps = n_steps)
}

regret_df <- tibble(
  step = rep(1:n_steps, 2),
  regret = c(colMeans(eg_regret), colMeans(ucb_regret)),
  strategy = rep(c("Epsilon-greedy", "UCB"), each = n_steps)
)
p_explore <- ggplot(regret_df, aes(x = step, y = regret, colour = strategy)) +
  geom_line(linewidth = 0.8) +
  scale_colour_manual(values = c("Epsilon-greedy" = okabe_ito[1],
                                 "UCB" = okabe_ito[2])) +
  theme_publication() +
  labs(title = "Exploration: Epsilon-Greedy vs UCB",
       x = "Step", y = "Cumulative regret", colour = "Strategy")
p_explore
```

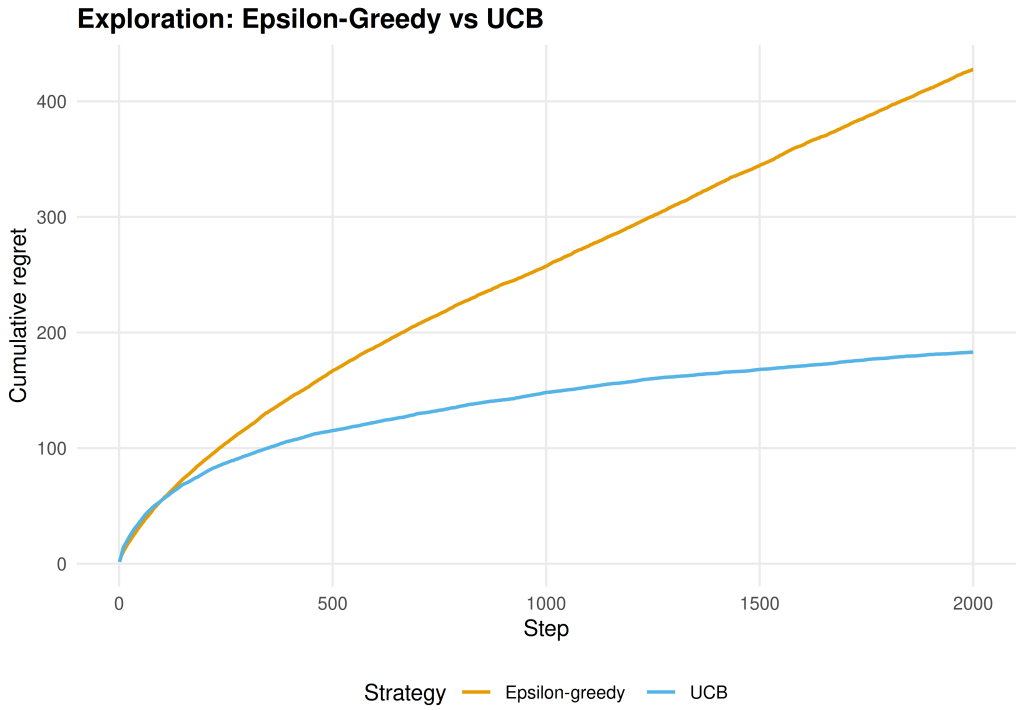


Figure 25.2: Cumulative regret comparison between epsilon-greedy and UCB on a 10-armed bandit. UCB explores proportionally to uncertainty, yielding lower regret.

```
save_pub_fig(p_explore, "exploration-eg-vs-ucb", width = 7, height = 5)
```

25.4 Worked example

We trace the learning process on the 5×5 gridworld with obstacles at (2,2), (3,4), (4,2), and (2,4). The agent starts at (1,1) and must reach the goal at (5,5).

```
cat("Q-Learning — Mean reward (last 200 episodes):",
    round(mean(tail(ql_result$rewards, 200)), 2), "\n")
```

```
#> Q-Learning — Mean reward (last 200 episodes): 6.26
```

```
cat("SARSA      — Mean reward (last 200 episodes):",
    round(mean(tail(sarsa_result$rewards, 200)), 2), "\n")
```

```
#> SARSA      — Mean reward (last 200 episodes): 6.28
```

```
# Extract and display the learned policy
policy ← apply(ql_result$Q, 1, which.max)
arrows ← c("Up", "Rt", "Dn", "Lt")
obs_states ← env$state_id(obstacles[,1], obstacles[,2])

policy_matrix ← matrix("", nrow = env$rows, ncol = env$cols)
for (s in seq_len(env$n_states)) {
  r ← (s - 1) %/% env$cols + 1
  cc ← (s - 1) %% env$cols + 1
  if (s %in% obs_states) {
    policy_matrix[r, cc] ← " X "
  } else if (s == env$goal) {
    policy_matrix[r, cc] ← " G "
  } else {
    policy_matrix[r, cc] ← arrows[policy[s]]
  }
}
cat("\nLearned policy (Q-learning):\n")
```

```
#>
#> Learned policy (Q-learning):
```

```
print(policy_matrix, quote = FALSE)
```

```
#>      [,1] [,2] [,3] [,4] [,5]
#> [1,] Rt   Rt   Rt   Rt   Dn
#> [2,] Up    X   Up    X   Dn
#> [3,] Dn   Dn   Up    X   Dn
#> [4,] Lt    X   Rt   Rt   Dn
#> [5,] Rt   Rt   Rt   Rt    G
```

Q-learning finds the optimal route because it evaluates the greedy policy (via $\max$). SARSA gives obstacles a wider berth because its on-policy updates incorporate the risk of accidentally stepping into a bad state during exploration.

25.5 Extensions

- **Function approximation**: For large state spaces, Q-values can be approximated with linear models or neural networks (DQN). Neural network packages are beyond our R toolkit, but the conceptual framework is identical.
- **Policy gradient methods**: REINFORCE and actor-critic methods directly optimize policy parameters rather than learning value functions.
- **Multi-agent extensions**: 26 explores what happens when two Q-learners face each other in matrix games — single-agent convergence guarantees break down.
- **Planning**: Model-based RL (Dyna-Q) combines learned models with Q-learning for faster convergence. See Sutton & Barto (2018) (Chapters 5-8).

Exercises

1. **Cliff walking.** Create a 4×12 gridworld where the bottom row (except the start and goal) is a "cliff" with reward -100. Compare Q-learning and SARSA policies. Which algorithm learns the safer path along the top?

2. **Decaying epsilon.** Implement $\varepsilon_t = 1/\sqrt{t}$ decaying exploration for the 5×5 gridworld. Plot the learning curve alongside fixed $\varepsilon = 0.1$ and compare convergence speed and final performance.

3. **Discount factor analysis.** Train Q-learning on the 5×5 gridworld with $\gamma \in \{0.5, 0.9, 0.99\}$. Visualize the learned value functions as heatmaps. How does the discount factor affect the value gradient from start to goal?

Solutions appear in D.